

On 12 July, the stop-loss order took me out of the trade. From my notebook: “Mood (Sell too soon?): Good. The stop took me out and this morning [the stock] is trading even lower. Earnings are due in 5 days, so maybe the stock is signaling weak results. Time to move on as it pierced the trendline on the sell day.”

What trendline am I referring to? The only idea I have is to draw one connecting the throwback low along the bottoms as price climbed. The stock broke out of a 10-day congestion region and pierced the up-sloping trendline at the same time. That's when I sold.

I made 8% on the trade, but sold too soon. Yes, the stock moved sideways for almost 3 months but eventually made its way to 61.87 or 54% higher than where I sold.

For a swing trade (it wasn't supposed to be), this was a good execution. I bought the day after the breakout and sold before weakness took the stock lower and threw it sideways to down for months. For a longer term position trade (which was intended), I missed the big gain. Again.

- Lesson: When position trading, allow for more volatility to capture longer-term gains.

Sample Trade

Ralph is a pattern trader with a measure of experience milking chart patterns for all they are worth. When he noticed what he thought was either a descending broadening wedge or a right-angled descending broadening formation, he bought the stock. His order, placed at point C in [Figure 10.7](#) (46.38), was just after the stock bounced off the lower trendline.

He monitored the stock closely and watched it move up the very next day, then ease lower.